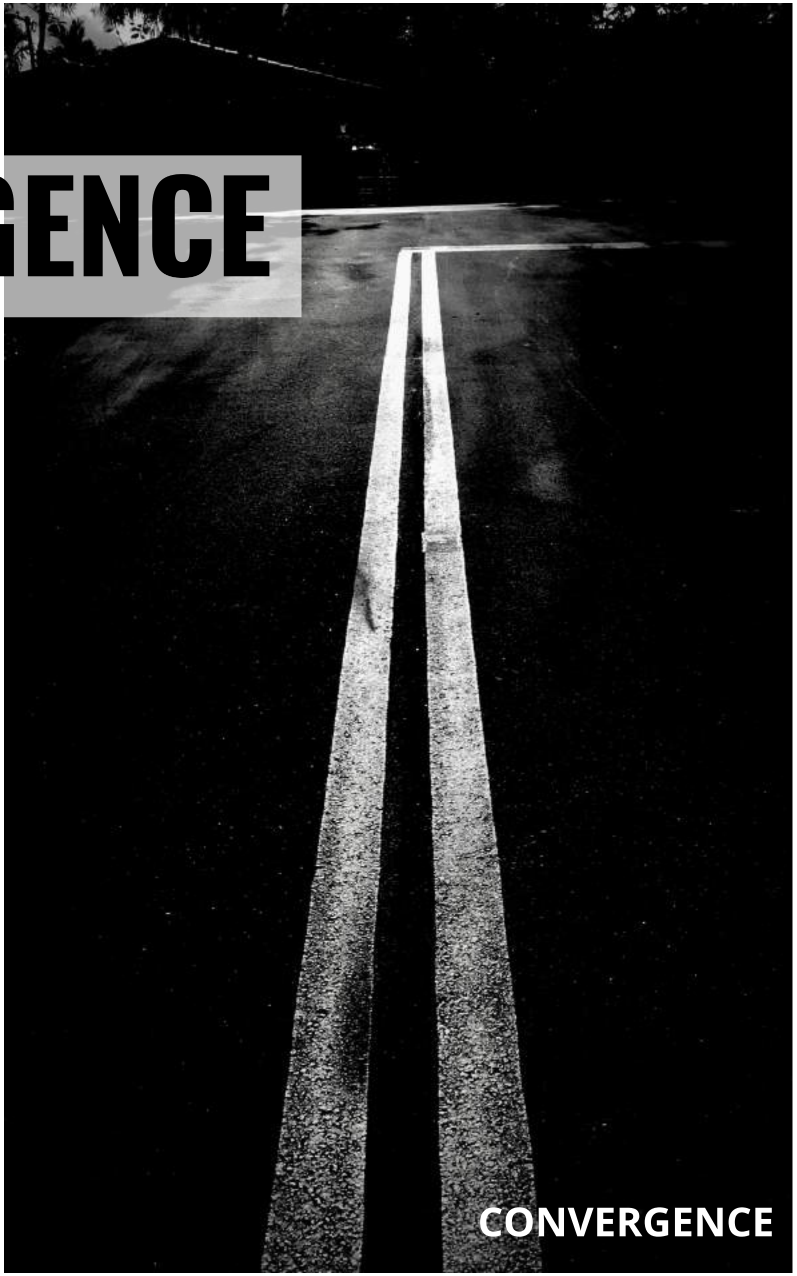
2 MULTIPLE MOVING AVERAGE CONVERGENCE & DIVERGENCE



With this, we come to the next method of using moving averages i.e.moving average convergences and divergences, based on which we will generate trading signals.

We will take multiple moving averages in the likes of 5DMA, 9DMA, 18DMA, 50DMA, and 200DMA. We will see that in periods of sideways markets (a sideways market, or sideways drift, occurs where the price of a security trades within a fairly stable range without forming any distinct trends over some period of time), all these moving averages come together and the gap between each of them is very minimal. We can say that all the moving averages 'converge' together. When such a pattern occurs, it is called a convergence of different moving averages. At times, 200 DMA will not be a part of this and all other moving averages will come together and be a part of the same. Such cases are also an example of moving average convergence.